LSEG (LSEG LN): Long

Priced like FactSet, earns like an exchange

Tobenna Agubuche | 25 October 2026 | Price 9,510p (close 23 Oct) | Market cap c.£46bn

Method	Value per share	vs price
DCF, base case	10,990p	+16%
Peer median forward P/E (22.5x)	11,590p	+22%
Bear case	8,320p	-13%
Bull case	13,570p	+43%
Probability-weighted (25/50/25)	10,970p	+15%

The call

LSEG trades on 18.4x forward earnings. Its data and exchange peers trade on a median of 22.5x. The discount exists because the market treats the whole group as an AI casualty. Data & Analytics, the division most exposed to that argument, was 44% of 2025 income and is still growing about 5% organically. The other 56% (Markets, FTSE Russell and Risk Intelligence) grew between 10% and 12% in Q3 and should be valued like an exchange.

At 9,510p my DCF implies about 2.3% growth in perpetuity. The company has just guided to at least 8% organic income growth for 2026. My forecasts sit within 2% of consensus on income and EBITDA, so I am not relying on beating the street. I think the multiple is wrong.

Why the stock is cheap

The shares are still well below their 2025 peak, despite guidance upgrades at both H1 and Q3. The worry is that if large language models can answer questions that used to need a Workspace terminal, LSEG loses seats and pricing power. FactSet is the cleanest version of that trade and is the cheapest name in the peer group at 16.9x. LSEG sits next to it at 18.4x. S&P Global is on 24.0x, CME on 23.6x and Deutsche Börse on 23.5x.

Where I disagree

Most of the group is not a terminal business. Q3 2026 organic growth was 12.5% in Markets, 10.2% in FTSE Russell and 9.8% in Risk Intelligence. Data & Analytics grew 5.2%. The exchange peers (ICE, Nasdaq, CME, Deutsche Börse, Euronext) trade on a median 22.5x.

Data & Analytics is growing where AI uses the data. Data & Feeds, which sells data into customers' own systems and models, grew 7.5% in Q3. Workflows, the terminal side, grew 2.8%. At June, ASV growth was 6.1% and revenue retention was 92.8%. 95% of the top 200 customers now use LSEG's AI products. AI Search users went from about 17,000 in July to 47,000 by October. Customers are reaching the data through more channels, including Copilot, Gemini and MCP connections.

Octus answers the AI question directly. LSEG is paying $3.5bn in cash for proprietary private and distressed credit research, which a model cannot scrape from the open web. Octus should add $300m to $320m of revenue this year with double-digit growth. Management expects it to be earnings-neutral in the first full year and accretive after that. The deal is debt-funded, and leverage should be back to the middle of the 1.5x to 2.5x range by the end of 2028.

The cash return is large. Equity free cash flow guidance is at least £2.8bn for 2026. Buybacks and dividends from January 2026 to February 2027 add up to about 10% of the market cap. In my model, the share count falls from 510m to 449m by the end of 2028. The 2027E equity FCF yield is 6.6%.

Forecasts

£m unless stated	2025A	2026E	2027E	2028E
Income excl. recoveries	8,986	9,660	10,547	11,216
Adjusted EBITDA	4,523	4,975	5,473	5,885
EBITDA margin	50.3%	51.5%	51.9%	52.5%
Adjusted EPS (p)	420.6	493.6	562.6	624.5
Consensus EPS (p)		480.6	550.9	615.5
DPS (p)	150.0	172.4	199.3	221.1
Equity free cash flow	2,445	2,800	3,021	3,242
Net debt / EBITDA	1.7x	1.8x	2.1x	1.9x

From 2027 the figures include Octus, which I assume closes on 1 January 2027 and earns a 40% EBITDA margin. Neither is disclosed. Consensus was compiled on 13 October, before the deal. Excluding Octus, my 2027 income is 0.4% below consensus.

Valuation

The DCF uses an 8.3% WACC (4.9% risk-free rate, 0.85 beta, 5.0% equity risk premium, 15% debt) and 3.0% terminal growth. It discounts at mid-year from 31 December 2026. I deduct the Tradeweb minority at 25x its share of earnings. The terminal value is 83% of EV and implies 11.6x 2030E EBITDA, which is well below where the peers trade today. Across a WACC of 7.8% to 8.8% and terminal growth of 2.5% to 3.5%, the value per share ranges from 8,810p to 14,190p.

The bear case cuts growth by 2.5 percentage points in every division and every year, takes 100bp off the margin from 2027, and uses 2.5% terminal growth. That gives 8,320p. The bull case adds 1.5 points of growth and 60bp of margin, with 3.5% terminal growth, and gives 13,570p. The downside to the bear case is smaller than the upside to the bull case.

Catalysts

- FY2026 results, expected in late February 2027. These bring 2027 guidance and the size of the 2027 buyback (£1.0bn to £1.5bn signalled).
- Quarterly Data & Analytics organic growth and ASV. A print at 5% or above weakens the AI-casualty argument.
- Octus completion and regulatory approval.
- Elliott, which disclosed a stake in February, is pushing for portfolio changes. Any sale or separation talk would put a price on the parts.

What would make me wrong

- Data & Analytics organic growth falls below 3% for two quarters in a row, or retention drops under 91%.
- Markets income falls back harder than I expect. My base case already slows it from 11% in 2026 to 7% in 2027 and 6% after that.
- Another large acquisition before leverage comes back down from the top of the range.
- Octus earns well below a 40% margin or takes longer to close.

Model, assumptions and sources: github.com/Tobenna30/finance-models

For discussion only. Not investment advice. Sources: LSEG FY2025 results, H1 2026 results, Q3 2026 trading update and IR consensus (13 Oct 2026); Reuters; peer multiples from stockanalysis.com (prices 20 to 23 Oct 2026).